Aurora BioSciences Corporation

Clinical-stage biotechnology | NASDAQ: ARBS

Condensed Consolidated Interim Financial Statements

First Quarter of Fiscal Year 2026 • three months ended 31 March 2026

Aurora BioSciences Corporation, a clinical-stage biotechnology company, today reported results for the first quarter of fiscal 2026. Collaboration and licensing revenue was US$12.4 million, compared with US$15.2 million in the same quarter of the prior year, reflecting the timing of milestone recognition. The company reported a loss before tax of US$22.6 million as it advanced its lead candidate ARB-204 into Phase 3.

Condensed Consolidated Statement of Operations

US$ '000	3 mo ended 31 Mar 2026	3 mo ended 31 Dec 2025	3 mo ended 31 Mar 2025
Collaboration & licensing revenue	**12,400**	**9,800**	**15,200**
Research & development expense	(26,800)	(21,900)	(22,400)
General & administrative expense	(8,600)	(7,200)	(7,300)
Other operating income	400	300	200
Operating loss	**(22,600)**	**(19,000)**	**(14,300)**
Net interest income	0	600	200
Loss before tax	**(22,600)**	**(18,400)**	**(14,100)**
Income tax benefit / (expense)	0	0	0
Net loss for the period	**(22,600)**	**(18,400)**	**(14,100)**

Figures in parentheses denote losses / negative amounts. Amounts are stated in thousands of US dollars (US$ '000) and are unaudited. The company has incurred net losses since inception and expects to continue to do so as it invests in its clinical pipeline.

Management Discussion & Analysis

Revenue for the quarter of US$12.4 million increased 26.5% sequentially from US$9.8 million in the fourth quarter of fiscal 2025 but declined 18.4% from US$15.2 million in the first quarter of the prior fiscal year, as prior-year revenue included a one-time US$4.0 million regulatory milestone. Revenue remains inherently lumpy and dependent on the timing of collaboration milestones.

Research and development expense rose to US$26.8 million (Q1 FY2025: US$22.4 million), reflecting the initiation of the Phase 3 ASCEND trial and increased manufacturing scale-up costs. The loss before tax widened to US$22.6 million, compared with a loss of US$18.4 million in the preceding quarter and a loss of US$14.1 million in the same quarter last year. The company recorded no income tax benefit given its accumulated loss position.

The company ended the quarter with US$214 million in cash, cash equivalents and marketable securities, which management believes is sufficient to fund operations into the second half of fiscal 2027.

Outlook

The company expects operating losses to continue and to increase in absolute terms in coming quarters as the Phase 3 programme enrols patients. Management does not provide revenue guidance given the milestone-dependent nature of its collaboration agreements. Key upcoming catalysts include topline Phase 2b data for ARB-311 expected in the third quarter of fiscal 2026 and the completion of Phase 3 enrolment for ARB-204.

Forward-looking statements involve substantial risks, including clinical, regulatory and financing risks. Actual results could differ materially.